

do talk to them. You will want to have good records of all communications, even if you have the matter promptly taken care of, and they settle amicably. You don't have to be a jerk just because they act that way. You just have to know the steps to take.

Tough Talk

Don't let them take advantage of you. Believe me, they will try. The New York attorney general sued a national debt collection agency for collecting on thousands of debts that could not even be proven to be real or collectible. Not only do they use every trick in the book, they make them up as they go. The Federal Trade Commission has won a \$10.2 million judgment against a company in New Jersey for their illegal collection practices. The company overstated the debts that people owed and used the illegal threats that we discussed earlier. So just because some person on the phone is talking tough and telling you that you owe them, don't fall for it. And don't be afraid to file a complaint.

A Fighter

Sometimes, the only thing a person can do is fight back. An article ran in the *New York Times* about a woman who was put on the debt collection hit list for charges that didn't even belong to her. She got the bank to agree that she had never incurred those charges, but the debt had already been turned over to the collection agent who was barreling ahead full-steam. The article states:

One New York City victim, Judith Guillet, complained and filed a police report in 2003 after receiving a Chase credit card bill for \$2,300, including five charges from Amoco gasoline stations in the Bronx. She has never owned a car or had a driver's license.

The bank agreed that the charges were not valid, but the debt case hung on because the bank turned it over to a collection agency. Last November, that agency obtained a court order, allowing it to freeze Ms. Guillet's bank account, even though it could not demonstrate that the debt was valid.

"I felt helpless," said Ms. Guillet, a nurse who is retired on full disability. "I couldn't pay my rent, buy food or pay my electricity bills."